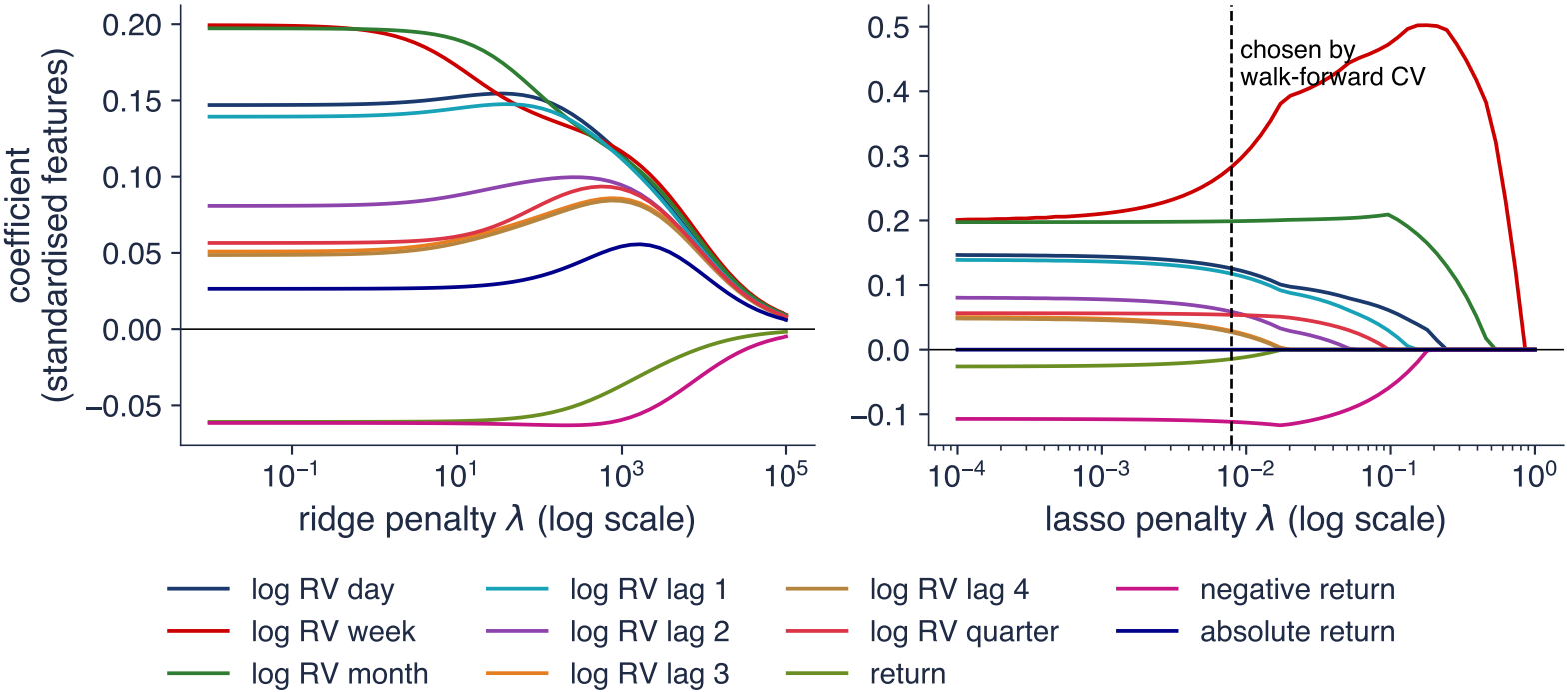
coefficient
(standardised features)
0.20
0.15
0.10
0.05
0.00
−0.05
10^{-1}
10^{1}
10^{3}
10^{5}
ridge penalty λ (log scale)
0.5
0.4
0.3
0.2
0.1
0.0
−0.1
chosen by
walk-forward CV
10^{-4}
10^{-3}
10^{-2}
10^{-1}
10^{0}
lasso penalty λ (log scale)
log RV day
log RV week
log RV month
log RV lag 1
log RV lag 2
log RV lag 3
log RV lag 4
log RV quarter
return
negative return
absolute return